By **forming large trusts**, businesses can **fix prices and hamper competition**.

Large trusts **work across states**, revealing the **weaknesses of state-based laws**.

The **unfettered success** of a few large trusts **limits consumer choice** and undermines **public faith in business practices**.

The Sherman Antitrust Act is passed. This federal law prevents large corporations from dominating commerce in the United States.

The key aim of the Act was to protect the core Republican value of free enterprise. However, some legal commentators criticized the lack of detail in the law, pointing out that antitrust laws should focus on *bad* monopolies, not *all* monopolies. This lack of detail in the Act ultimately proved beneficial because it allowed the US judiciary to interpret and enforce it, refining its meaning in law. In 1898, in the case of *United States* v. *Addyston Pipe & Steel Co.*, the Addyston Pipe Company was accused of "working in agreement." Several companies would band together when work was being contracted out, and between them they decided which should bid lowest and therefore win the tender. By so doing, they were effectively controlling the fee paid for the job.

> Every person who shall monopolize … any part of the trade or commerce among the several States, or with foreign nations, shall be guilty of a felony.
>
> **Sherman Antitrust Act, Section 2**

The Supreme Court judged that Addyston Pipe and Steel was restraining trade. This set the "rule of reason" precedent, whereby only those restraints of trade that are deemed "unreasonable" are considered a violation of the Sherman Act. Reasonable restraint of trade would apply to a company that had created a monopoly through building a superior product or technology; such an action would not break antitrust laws.

Standard Oil

The power of the Sherman Antitrust Act was again used in 1911 to force the breakup of Standard Oil, which at that time controlled 90 percent of the United States' oil production. Standard Oil had struck deals with rail companies, guaranteeing them the rights to transport substantial amounts of oil each day in return for a huge discount on the transport rates. The Supreme Court ruled that this violated the Sherman Act "on the ground that it is a combination in unreasonable restraint of inter-State commerce." This furthered the concept of "unreasonable restraint" in competition law. As a result of the ruling, Standard Oil was broken up into 34 smaller companies, putting an end to its monopoly.

Upgrading the Act

The Sherman Act contained several loopholes that related to anti-competitive mergers and acquisitions. Additionally, Congress was concerned that by leaving the definition of "reasonable restraint of trade" loose, it required the courts to repeatedly make decisions on a case-by-case basis. As a result, in 1914, Congress amended the Sherman Act with the Clayton Act. One of the key measures of the Clayton Act was to tighten up the laws for mergers and acquisitions, legislating against mergers that would hamper competition and create a monopoly.